D365 F&O: AR Collections Parent Payment Distribution Procedure Guide

© 2026 WiseTech Global

Contents

About this guide 3
Part 1: What do I need to know? (AR Collections Parent Payment Distribution) 4
High-level process 4
Roles and responsibilities 5
Key concepts 6
Part 2: How do I do it? (AR Collections Parent Payment Distribution) 7
1. Transfer a Parent Account Payment Across Child Accounts 7
1.1 Create the Journal and Enter the Parent Line 8
1.2 Enter the Child Lines 9
1.3 Validate and Post the Journal 10
Part 3: Reports (AR Collections Parent Payment Distribution) 11
Additional Resources 12

ID	Date	Author/s	BPO	Description of change
0.1	October 2026	Daniel Moreira	To be confirmed	SME review draft created from the PG master template. Built from the Part 2 notes; not yet checked against the recording, validated or approved.

© 2026 WiseTech Global

About this guide

WHAT is this guide used for?

This guide includes context and step-by-step 'how to's' about the **D365 F&O: AR Collections Parent Payment Distribution process**. It has been developed as the primary on-the-job reference to support WTG team members responsible for completing D365 F&O system tasks.

HOW to navigate this guide?

This guide is made up of Parts and Topics. A Part represents a collection of related topics (e.g., a set of related procedures). A Topic represents a specific item of information related to the Part. Each Part and Topic can be accessed from the Table of Contents.

Part 1: What do I need to know?

This part provides an overview of the end-to-end business process covered in this document. It outlines the purpose, scope, and context of the process within the broader functional stream, and introduces key roles, systems, and activities involved.

Part 2: How do I do it?

This part contains detailed steps on completing specific tasks in the D365 system. The instructions used in this guided approach are split into two main (2) sections:

- Action: section one (1) of the information table; one individual action per row, beginning with an italicized verb.
- Description: section two (2) of the information table; location, exact values, context, expected results and relevant notes.

Note: Part 1 and Part 2 will be consistent across all D365 Procedure Guides (PGs). PGs may include additional Parts covering major topics related to the specific module / PG.

Hyperlinks

Hyperlinks are used throughout this document. *Click* on a hyperlink to directly navigate to another topic in this guide, or to an external resource.

Key

The table below defines what colors are used to highlight specific sections in this document:

Color	Definition
	Highlight an off-system action
	Highlights the start / end of a step.
	Highlights the end of the process.

© 2026 WiseTech Global

Part 1: What do I need to know? (AR Collections Parent Payment Distribution)

High-level process

Part Description

This guide explains how to distribute a payment held on a parent customer account to one or more child customer accounts with a **Customer payment journal** (CPJL). One debit line moves the amount off the parent account, and one credit line for each child account receives its share. It also covers a partial allocation, where only the confirmed part of the payment is moved and the rest stays on the parent account. A transfer between two customer accounts is covered by the AR Collections Customer Account Transfers guide.

How to identify a parent-child relationship in D365, approval, and correcting or reversing a posted journal are outside the scope of this guide until confirmed.

Initiation

- A payment held on a parent customer account must be distributed to one or more confirmed child accounts.

Stream

Stream	Process Area	Key Roles
Accounts Receivable	AR Collections	• To be confirmed

Process

The high-level process is as follows:

#	Action	Who	When	Where
1	Transfer a Parent Account Payment Across Child Accounts	To be confirmed	When a payment on a parent account must be distributed to confirmed child accounts	D365

© 2026 WiseTech Global

Roles and responsibilities

Overview

The business role that prepares and posts this journal is not yet confirmed.

Tasks / Business Roles	To be confirmed
Transfer a Parent Account Payment Across Child Accounts	R

*R = Responsible

© 2026 WiseTech Global

Key concepts

Overview

Before you start, you need to know how the relationship and the allocation are confirmed, how the journal distributes the payment, and what happens to any amount that is not allocated.

Parent and child accounts

Term	Description
Parent-child relationship	D365 does not provide a reliable parent-child indicator. Do not rely on account names alone.
Confirmed allocation	Which child accounts the payment belongs to, and how much each receives, confirmed from remittance, customer confirmation or other validated evidence.
Distribution	One debit on the parent account can be distributed across several child credits, if the child credits add up to the parent debit.
Residual	In a partial allocation, the part of the payment that is not yet allocated. It stays on the parent account, with a note that explains its purpose. For example, $8,000 of a $10,000 receipt is distributed and $2,000 stays on the parent account. The amounts are an example only, not a threshold.

Before you post

Rule	Description
Confirm before processing	Confirm the relationship and the allocation before you create the journal.
Use the original currency	Keep every line in the currency of the original receipt.
Describe every line	Use descriptions that let the transfer be identified in each customer's history.
Use the clearing account	Use **Ledger** as the offset type and the bank-to-bank transfer clearing account as the offset.
Balance the distribution	The child credits must add up to the amount debited from the parent account.
Simulate before posting	Run Simulate Posting and resolve every error before you post.

© 2026 WiseTech Global

Part 2: How do I do it? (AR Collections Parent Payment Distribution)

1. Transfer a Parent Account Payment Across Child Accounts

Description

Use this topic to distribute a payment from a parent customer account to confirmed child accounts. You create a CPJL journal, enter one debit line for the parent account and one credit line for each child account, check that the child credits match the parent debit, run Simulate Posting and post. If only part of the payment is allocated, you move only that part and record why the rest stays on the parent account.

Responsibility

- To be confirmed: prepares and posts the distribution journal.

Initiation

- A payment held on a parent customer account must be distributed to one or more confirmed child accounts.

Topic Overview

This topic includes these steps:

Step	Description
Create the Journal and Enter the Parent Line	Create the CPJL and enter the debit for the amount being moved off the parent account. Output: the parent line is complete.
Enter the Child Lines	Enter one credit line for each child account. Output: the distribution is entered.
Validate and Post the Journal	Check the totals, run Simulate Posting, correct errors, post, and record any residual. Output: the distribution is posted.

© 2026 WiseTech Global

1.1 Create the Journal and Enter the Parent Line

Procedure

Complete these steps to create the journal and enter the parent line:

Action	Description
PROCESS START	*Pre-requisites:* • Access to D365 and to **Customer payment journal**. • A confirmed parent-child relationship. • A confirmed allocation: each child account, its amount, and the total to move. • The currency of the original receipt. *Responsibility:* • To be confirmed
1. *Check* the **Entity**.	Confirm you are signed into the correct **Legal Entity** (top-right).
2. *Click* **Modules**.	From the left-hand **Navigation Pane**, click **Modules**.
3. *Navigate* to the **Customer payment journal** page.	From the **Navigation Pane**, *select*: • **Credit and collections >** • **Customer payment journal** You can also open **Customer payment journal** from your **Favorites** (see the AR Collections Favorites guide).
4. *Create* a new journal.	Start a new CPJL journal.
5. *Enter* the journal description.	Describe the transfer clearly, so it identifies the parent and child transfer.
6. *Open* the journal lines.	Open the lines of the new journal.
7. *Enter* the transaction date.	Enter the date for the distribution.
8. *Select* the parent customer account.	Select the parent account that holds the payment. The customer name fills in automatically.
9. *Enter* the amount to move as a debit.	Enter the total being moved off the parent account as a debit, in the currency of the original receipt. In a partial allocation, enter only the confirmed amount. The rest stays on the parent account.
10. *Enter* the line description.	Use a description that identifies the transfer in the parent account's history.
11. *Select* **Ledger** as the **Offset account type**.	Set the offset account type to **Ledger**.
12. *Select* the bank-to-bank transfer clearing account.	Select the clearing account as the offset account.
13. *Complete* the line.	Tab through every field in the line before you start the next one, so that fields such as the voucher fill in correctly.
STEP COMPLETE	• *The parent line is complete.* • *Continue to Enter the Child Lines*

© 2026 WiseTech Global

1.2 Enter the Child Lines

Procedure

Complete these steps for each child account:

Action	Description
PROCESS START	*Pre-requisites:* • The parent line is complete (see Create the Journal and Enter the Parent Line). *Responsibility:* • To be confirmed
1. *Add* a new line.	Add another line to the journal.
2. *Select* the child customer account.	Select a child account in the confirmed allocation. The customer name fills in automatically.
3. *Enter* the child's amount as a credit.	Enter the amount allocated to this child account as a credit, in the same currency as the parent line.
4. *Enter* the line description.	Use a description that identifies the transfer in this child account's history.
5. *Select* **Ledger** as the **Offset account type**.	Apply the same offset treatment as the parent line.
6. *Select* the bank-to-bank transfer clearing account.	Select the same clearing account as the parent line.
7. *Complete* the line.	Tab through every field in the line.
8. *Repeat* for each child account.	Repeat steps 1 to 7 until every child account in the confirmed allocation has a credit line.
STEP COMPLETE	• *Every child account in the allocation has a credit line.* • *Continue to Validate and Post the Journal*

© 2026 WiseTech Global

1.3 Validate and Post the Journal

Procedure

Complete these steps to validate and post the journal:

Action	Description
PROCESS START	*Pre-requisites:* • The parent line and every child line are complete (see Enter the Child Lines). *Responsibility:* • To be confirmed
1. *Check* the distributed total.	Confirm that the child credits add up to the parent debit, and that the currency and date are correct.
2. *Run* **Simulate Posting**.	Check the journal before posting. A blue result means the journal is ready to post.
3. *Correct* any errors.	If Simulate Posting shows an error, read it, correct the line it names and run Simulate Posting again. If you cannot resolve the error, log a request through the D365 issue form (see **Additional Resources**) before you post.
4. *Post* the journal.	Post only when every line is complete, the totals match and Simulate Posting succeeds.
5. *Record* the purpose of any residual.	Optional. In a partial allocation, add a note that explains why the remaining amount stays on the parent account. Otherwise, go to step 6.
6. *Verify* the distribution.	Check that the distribution appears with its description on the parent and child accounts.
PROCESS COMPLETE	*Outcomes:* • A balanced CPJL is posted: a debit on the parent account and matching credits on the child accounts, with the bank-to-bank transfer clearing account as the offset. • Any residual stays on the parent account with a note that explains its purpose.

© 2026 WiseTech Global

Part 3: Reports (AR Collections Parent Payment Distribution)

Overview

Reports for this process are pending SME confirmation.

© 2026 WiseTech Global

Additional Resources

User Support

- For any D365 issues during go-live and early adoption, log requests through the D365 issue form on the Atlas D365 User Support Hub. This is the fastest way to get help.

Self-Service Resources

- AVA - Atlas Virtual Assistant: Your AI assistant for navigating the Procedure Guides and quickly finding the right steps for any D365 task.
- Procedure Guides: Step-by-step instructions for core D365 processes.
- Atlas Training Hub: Access to training recordings, guides, quick reference material, and learning artifacts.

© 2026 WiseTech Global